

Excerpts

Does Accounting Start with writing the Journal?

Because we had been learning the fundamental concepts we started with learning what a journal is and how the ledger is derived. But if you have to design an accounting system, then you should start somewhere else. It would not be like you start writing the journal entry and then create whatever new ledger accounts you come across always.

We Prepare the List of Ledger Accounts First

What we do first is think of all the ledger accounts that are to be maintained within the organisational accounting system. Why? Remember, the basic purpose of accounting—Derivation of information. The more information we need, the more accounting heads we have to maintain (or the more the number of elements into which we have to divide the organisational accounting). Therefore based on the organisational information needs, one has to decide on the various accounting heads that are to be maintained.

Use the accounts within the list of ledger accounts only

Then at the time of recording the transactions i.e. writing down the journal, only these accounting heads are to be considered to assess the two elements affected by the transaction.

Example

Say for example, if the organisation thinks that it does not need too much detail about all the expenses relating to the office like, office rent, telephone, electricity, maintenance etc., it can create one account for this say by name “Office Expenses” and use it whenever any of these expenses are incurred. When office rent is paid in cash, the elements/account heads that are affected are “Cash a/c” and “Office Expenses a/c”; similarly when office telephone charges are paid by a cheque, the elements/account heads that are affected are “Bank a/c” and “Office Expenses a/c”.

But if the organisation has decided that it needs this information separately then they create different accounts for these like “Office Rent a/c”,